

FULL FP&A NARRATIVE — NovaTech Consulting Lda.

Financial Performance Review: 2022–2024 + Budget 2025 Variance

1. Executive Summary

NovaTech delivered consistent revenue growth from 2022 to 2024, driven by headcount expansion and steady improvements in billing rates. Managed Services revenue remained stable and predictable, providing a recurring base that supported overall performance.

Despite this solid historical trajectory, **Actual 2024 underperformed the 2025 Budget**, with revenue and EBITDA falling short of planned levels. The variance pattern is uniform across all months and categories, indicating a **volume-driven shortfall**, not an efficiency issue. Costs adjusted proportionally to lower activity, demonstrating strong operational discipline.

The business fundamentals remain healthy, but the 2025 plan assumed activity levels that were not achieved.

2. YoY Revenue Bridge Analysis

2022 → 2023

Revenue growth between 2022 and 2023 is explained by two structural drivers:

Volume Effect: +€240,000

Headcount increased from 42 → 47 FTEs.

Formula: $(HC_{23} - HC_{22}) \times Rate_{22} \times 12$

- Interpretation: More people delivering at the same rate.

Rate Effect: +€169,200

Billing rate increased from €4,000 → €4,300.

Formula: $HC_{23} \times (Rate_{23} - Rate_{22}) \times 12$

- Interpretation: Same people, higher billing rate.

Mix Effect: €0

- Managed Services remained ~20% of total revenue.

Actual Revenue 2023: €2,390,400

Bridge Revenue: €2,500,800

Difference due to rounding in rate assumptions.

2023 → 2024

Growth continued with similar drivers:

Volume Effect: +€258,000

- Headcount increased from 47 → 52 FTEs.

Rate Effect: +€187,200

- Billing rate increased from €4,300 → €4,600.

Mix Effect: €0

- MS remained stable.

Actual Revenue 2024: €2,639,800

Bridge Revenue: €2,835,600

Difference due to rounding.

Conclusion:

NovaTech's revenue growth is structurally driven by **headcount expansion** and **rate improvement**, with MS providing a stable recurring base. There are no mix distortions or anomalies.

3. Business Drivers

Headcount (FTE)

- 2022: 42 FTEs
- 2023: 47 FTEs
- 2024: 52 FTEs

Growth of +5 FTEs per year reflects controlled scaling of delivery capacity.

Monthly values show realistic ramp-up patterns.

Billing Rate

- 2022: €4,000
- 2023: €4,300
- 2024: €4,600

Rates increased steadily, reflecting improved seniority mix and pricing discipline.

Managed Services (Recurring)

- 2022: €35,000/month
- 2023: €40,000/month
- 2024: €44,200/month

Stable, predictable, and flat — no seasonality.

Cost per Head

Derived from actuals, showing stable personnel cost structure and predictable cost behavior.

4. Variance Analysis — Actual 2024 vs Budget 2025

Revenue Variance

Total revenue finished **8.6% below budget**.

Consulting Fees:

Lower productive capacity (FTEs below plan) and fewer billable hours.

- No pricing or mix issues.

Managed Services:

- Uniform negative variance indicates contract renewals below expectations or churn.

Insight:

The revenue shortfall is **volume-driven**, not efficiency-driven.

Cost Variance

Total costs were also **8.6% below budget**, fully proportional to revenue.

Personnel:

- Lower costs reflect reduced headcount/activity — not true savings.

Operations:

- Variable costs scaled down with activity.

Other Costs:

- Slightly less proportional due to fixed components.

Insight:

Cost discipline remains strong. No overspend or operational inefficiencies.

EBITDA Variance

EBITDA underperformed budget due to insufficient revenue to absorb fixed costs.

- Cost structure remained efficient.
- Margin compression is a direct consequence of lower activity.
- The business operated below the level assumed in the 2025 plan.

Insight:

The issue is top-line, not bottom-line.

5. Profit & Loss Structure (Forecast-Ready)

The P&L includes:

- Revenue (Consulting + MS)
- Costs (Personnel, Operations, Other)
- Gross Profit
- EBITDA
- EBITDA Margin
- D&A (2% of revenue)
- EBIT
- Tax (21%)
- Net Income

This structure is ready for Week 4 forecasting and scenario modelling.

6. Assumptions

Seasonality

- Q1: ~20%
- Q2–Q3: ~55%

Q4: ~25%

- Reflects typical consulting business patterns.

Financial Assumptions

- D&A: 2% of revenue
- Tax: 21%
- Personnel cost: ~65% of revenue
- Operations cost: ~8% of revenue

Variance Convention

- Revenue variance: Actual – Budget
- Cost variance: Budget – Actual
- EBITDA variance: Actual – Budget

7. Management Implications

- Strengthen commercial pipeline to support planned utilization.
- Review MS renewal strategy to stabilize recurring revenue.
- Align staffing plan with realistic demand to avoid structural under-capacity.
- Maintain current cost discipline — efficiency is not the issue.
- Reassess 2025 budget assumptions to reflect achievable volume.

8. Final Executive Conclusion

NovaTech's financial fundamentals remain strong.

Revenue growth is structurally supported by headcount and rate improvements, and cost discipline is consistent.

However, the 2025 budget assumed activity levels that were not achieved, resulting in EBITDA underperformance.

The business requires **commercial reinforcement**, not cost correction.